Professional Online Academy Vu Topper RM

ECO-401 Introduction to Economics

Update MCQ'S Final Term

By Vu Topper RM

Follow Us on YouTube:
@vutopperrm

For More Help Contact What's app Me!!!
Number's = # 0322-4021365, 0316-4980094

Rizwan Manzoor
Vu Topper RM



بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:1 **(Marks:1)** **Vu-Topper RM**

Naima has just finished school and is waiting to report to his new job at the beginning of the month. Naima is considered to be:

A. Frictionally unemployed.

B. Employed.

C. Structurally unemployed.

D. Cyclically unemployed.

Question No:2 **(Marks:1)** **Vu-Topper RM**

"Index-linking" is very common in

A. USA

B. Australia

C. Latin America

D. South A

Question No:3 **(Marks:1)** **Vu-Topper RM**

Percentage GDP gap is equal to:

A. (Potential GDP – Actual GDP)/Actual GDP

B. (Potential GDP – Actual GDP)/Potential GDP

C. (Actual GDP - Potential GDP)/Potential GDP

D. (Actual GDP - Potential GDP)

Question No:4 **(Marks:1)** **Vu-Topper RM**

In 1971, Pakistan linked its currency, rupee to:

A. Pound Sterling

B. USA Dollar

C. Japanese yen

D. Kuwait Dinar

Question No:5 **(Marks:1)** **Vu-Topper RM**

In 1920, Germany suffered from:

A. Pure inflation

B. Inflation

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

C. Deflation
D. Hyperinflation

Question No:6 **(Marks:1)** **Vu-Topper RM**
According to Keynes,unemployment arises due to deficiency of
A. Aggregate supply
B. Aggregate demand
C. None of above
D. Both

Question No:7 **(Marks:1)** **Vu-Topper RM**
What will happen if exchange rate decreases from $1 = Pak Rs. 85 to $1 = Pak Rs. 65?
A. It will reduce imports of Pakistan.
B. Its imports and exports will remain unchanged.
C. It will increase exports of Pakistan.
D. It will decrease exports of Pakist

Question No:8 **(Marks:1)** **Vu-Topper RM**
The percentage annual increase in average price level is:
A. The rate of deflation
B. The rate of employment
C. The rate of unemployment
D. The rate of inflation

Question No:9 **(Marks:1)** **Vu-Topper RM**
The most commonly used index to calculate the inflation is:
A. Wholesale Price Index (WPI)
B. GDP Deflator
C. Producer Price Index (PPI)
D. Consumer Price Index (CPI)

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Question No:10 **(Marks:1)** **Vu-Topper RM**

Measures the value of output during a given year using the prices prevailing during that year is:

A. Real GDP

B. Nominal effective exchange rate

C. Nominal GDP

D. Real exchange rate

Question No:11 **(Marks:1)** **Vu-Topper RM**

Falling inflation means that price level is rising at a(n):

A. Fluctuating rate.

B. Increasing rate.

C. Decreasing rate.

D. Constant Rate.

Question No:12 **(Marks:1)** **Vu-Topper RM**

When interest rate goes up, the level of Investment will:

A. Decrease.

B. Increase.

C. Remain unchanged.

D. First increase, then start decreasing.

Question No:13 **(Marks:1)** **Vu-Topper RM**

A government ..... its currency by actively buying it and selling foreign currencies through the foreign exchange market.

A. Depreciate

B. Appreciate

C. Devalues

D. Revalues

Question No:14 **(Marks:1)** **Vu-Topper RM**

The principle that states that a change in investment causes a magnified change in income is termed as the:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

A. Water paradox.
B. Multiplier effect.
C. Paradox of thrift.
D. Saving theorem

Question No:15 **(Marks:1)** **Vu-Topper RM**
Devaluation of the currency encourages:
A. Poverty.
B. Imports.
C. Inflation.
D. Exports.

Question No:16 **(Marks:1)** **Vu-Topper RM**
A _____ occurs when a country purchases more from abroad than other countries purchase from it.
A. Depreciation
B. Trade deficit
C. Trade balance
D. Trade surplus

Question No:17 **(Marks:1)** **Vu-Topper RM**
"Capital widening" means:
A. Increasing the usage of existing capital.
B. More capital per unit of labour.
C. More capital and more labour, but with the same amount of capital per unit of labour.
D. Importing capital from the developed world.

Question No:18 **(Marks:1)** **Vu-Topper RM**
A growth rate for developed countries is considered normal if it is:
A. Exactly 5%
B. Above 4%
C. Below 2%

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

VuTopperRM

D. Between 2% to 3%

Question No:19 (Marks:1) Vu-Topper RM

A rise in government expenditure leads to a multiple rise in national income due to:

A. Inelastic demand.

B. Multiplier effect.

C. Accelerator.

D. Inelastic supply.

Question No:20 (Marks:1) Vu-Topper RM

If output gap is negative then:

A. Economy will be in recession

B. It will have positive impact on economy

C. It will have no impact on economy

D. Economy will be in expansion

Question No:21 (Marks:1) Vu-Topper RM

Agents erroneously spend more than they should, because:

A. None of the given options is true

B. Government is not driven actual inflation in period t as expected in period t-1

C. Government driven actual inflation in period t-1 as expected in period t

D. Government driven actual inflation in period t as expected in period t-1

Question No:22 (Marks:1) Vu-Topper RM

What refers to the permanent effects of a temporary change?

A. Hypothesis

B. Collusion

C. Hysteresis

D. Clotheslines

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:23 **(Marks:1)** **Vu-Topper RM**

Revaluation is known as:

A. The act of less or more permanent increase in the value of price by government

B. The act of decreasing the price of one country's currency in terms of other currencies by the government

C. The act of increasing the price of one country's currency in terms of other currencies by the government

D. The act of less or more permanent decrease in the value of price by government

Question No:24 **(Marks:1)** **Vu-Topper RM**

Is GDP an accurate measure of a country's well being?

A. No, it is not.

B. Yes, provided we use real GDP and not nominal GDP.

C. Yes, it is the best measure of national well being.

D. Uncertain, depending on whether GDP is rising or falling.

Question No:25 **(Marks:1)** **Vu-Topper RM**

Real GDP:

A. Measures GDP minus depreciation of capital.

B. Is also called nominal GDP.

C. Is nominal GDP adjusted for changes in the price level.

D. Will always change when prices change.

Question No:26 **(Marks:1)** **Vu-Topper RM**

The average propensity to save is the ratio of:

A. Total saving to a change in disposable income.

B. A change in saving to total disposable income at a specific income level.

C. Total saving to total disposable income at a specific income level.

D. A change in saving to a change in disposable income.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:27 **(Marks:1)** **Vu-Topper RM**

Which of the following factors would shift aggregate demand curve to the right?

A. Increase in consumption expenditures

B. Decrease in government expenditures

C. Increase in taxes

D. Decrease in business investment

Question No:28 **(Marks:1)** **Vu-Topper RM**

The price at which firms sells its final output to the consumers is called:

A. Product price

B. Market price

C. Factor price **Page 120**

D. None of these

Question No:29 **(Marks:1)** **Vu-Topper RM**

Which of the following summarizes all the international economics transactions for a country during a specific time period?

A. Interest rate

B. Inflation rate

C. Balance of trade

D. Balance of payments

Question No:30 **(Marks:1)** **Vu-Topper RM**

Inflation is measured on the basis of

A. Marshall's Index

B. Whole Sales Index

C. Consumer Price Index

D. Consumer Borrowing Rate Index

Question No:31 **(Marks:1)** **Vu-Topper RM**

Contentious movement of production, income and resources between producers and consumers is known as:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

A. Inflation
B. Investment
C. Circular flow **Page 124**
D. Consumption

Question No:32 **(Marks:1)** **Vu-Topper RM**
---------- is an accounting record of a country's transactions with rest of the world.
A. Rate of inflation
B. Balance of trade
C. Trade liberalization
D. Balance of payment **Page 152**

Question No:33 **(Marks:1)** **Vu-Topper RM**
For a firm buying labor competitively, the marginal input cost is equal to the:
A. Wage
B. Interest rate
C. Price of output
D. Cost of raw materials

Question No:34 **(Marks:1)** **Vu-Topper RM**
A demand curve is price elastic when:
A. Total revenue increases due to increase in price.
B. Changes in demand are equal to changes in price.
C. Changes in demand are proportionately smaller than changes in price.
D. Changes in demand are proportionately greater than changes in price.

Question No:35 **(Marks:1)** **Vu-Topper RM**
If there is a price ceiling, there will be:
A. Surpluses
B. Shortages
C. Equilibrium

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

D. Decrease in production

Question No:36 **(Marks:1)** **Vu-Topper RM**
Which of the following is TRUE for a monopolistically competitive firm in the short run equilibrium??
A. It will make positive profit.
B. Any of the given is possible.
C. It will make zero profit (break-even).
D. It will make negative profit (lose money).

Question No:37 **(Marks:1)** **Vu-Topper RM**
What would result from a depreciation of the pound on the foreign exchange market??
A. A fall in the price of imported computers.
B. An increase in the price of imported computers.
C. A fall in the purchasing power of US tourists in London.
D. An increase in the purchasing power of UK tourists overseas.

Question No:38 **(Marks:1)** **Vu-Topper RM**
In measurement of GDP, the problem of double counting is avoided by:
A. Using GDP deflator.
B. Calculating value added at each stage of production.
C. Adjusting the value of only finished goods with prices.
D. Adjusting the value of intermediate goods with prices.

Question No:39 **(Marks:1)** **Vu-Topper RM**
Suppose Ali derives total utility equals to 10 utils from the consumption of 1 bottle of Pepsi. When he consumes another bottle of Pepsi, he gets total utility equals 25 utils. His marginal utility in this case will be:?
A. 15 utils
B. 25 utils
C. 35 utils
D. 2.5 utils

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:40 **(Marks:1)** **Vu-Topper RM**

Suppose a firm hires five workers and offers them to pay Rs. 350 for 6 hours. Later on, firm decides to increase working hours instead of hiring new workers. As working hours increase, the wage rate:

A. Increases

B. Decreases

C. Remains unchanged

D. First decreases then increases

Question No:41 **(Marks:1)** **Vu-Topper RM**

Which of the followings describe agents?

A. All of the given options are true

B. Individual firm

C. Individual consumer

D. Individual laborer

Question No:42 **(Marks:1)** **Vu-Topper RM**

What is a real-world example of an oligopolistic industry?

A. Farmers' markets

B. Street food vendors

C. Smartphone manufacturing

D. Local hair salons

Question No:43 **(Marks:1)** **Vu-Topper RM**

Followings are the disadvantages of monopoly EXCEPT:

A. Monopolists produce high quality goods at higher prices.

B. Monopolists earn higher profits.

C. Monopolists do not pay sufficient attention to increase efficiency.

D. Most of the "surplus" (producer + consumer surplus) accrues to monopolists.

Question No:44 **(Marks:1)** **Vu-Topper RM**

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Which of the following is NOT an injection into the circular flow of income?
A. Consumption
B. Imports
C. Investment
D. Government spending

Question No:45 **(Marks:1)** **Vu-Topper RM**
If the monopolist earns profit then government can regulate this situation through:
A. Subsidies
B. Both taxes and subsidies
C. None of the given options is true
D. Taxes

Question No:46 **(Marks:1)** **Vu-Topper RM**
Oligopoly differs from monopolistic competition in that an oligopoly includes:
A. Product differentiation.
B. No barriers to entry.
C. Barriers to entry.
D. Downward sloping demand curves facing the firm.

Question No:47 **(Marks:1)** **Vu-Topper RM**
Keeping in view the model of aggregate supply and aggregate demand, in the long run, a decrease in the money supply should cause:
A. Both prices and output to fall.
B. Prices to fall and output to remain unchanged.
C. Prices to rise and output to remain unchanged.
D. Both prices and output to rise.

Question No:48 **(Marks:1)** **Vu-Topper RM**

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

In an oligopolistic market, firms are interdependent. What does this mean?
A. Firms are not affected by each other's actions.
B. Firms consider and react to competitors' decisions.
C. Firms merge to form a monopoly.
D. Firms cooperate without competition.

Question No:49 (Marks:1) Vu-Topper RM
Suppose the consumption function is C = 350 + 0.5 Yd. If the value of disposable income is Rs. 13000 then total consumption equals:
A. Rs. 6950.
B. Rs. 6450.
C. Rs. 6150.
D. Rs. 6850

Question No:50 (Marks:1) Vu-Topper RM
Which market structure is characterized by a few major firms dominating the industry?
A. Perfect competition
B. Oligopoly
C. Monopolistic competition
D. Monopoly

Question No:51 (Marks:1) Vu-Topper RM
Foreign interest rate plus expected depreciation is equal to:
A. Capital account deficit
B. Domestic interest rate
C. Current account deficit
D. Consumer budget deficit

Question No:52 (Marks:1) Vu-Topper RM
The government has a balanced budget if its total revenues are:
A. Less than its total expenditures.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

B. Equal to its marginal expenditures.
C. Equal to its total expenditures.
D. Greater than its total expenditure

Question No:53 (Marks:1) Vu-Topper RM
Japan and Korean economy remained in high current account deficit due to:
A. Low government budget deficit
B. Low private sector resource deficit
C. High private sector resource deficit
D. High government budget deficit

Question No:54 (Marks:1) Vu-Topper RM
Which of the following is the formula to calculate unemployment rate?
A. Number of employed persons / labour force x 100.
B. (Number of unemployed persons / labour force) x 100.
C. None of the given options.
D. Number of unemployed persons + labour force.

Question No:55 (Marks:1) Vu-Topper RM
The primary reason of decline in the value of money is:
A. Inflation.
B. Higher tax rate.
C. A rise in consumption.
D. Deflation.

Question No:56 (Marks:1) Vu-Topper RM
In Keynesian economics, a deflationary gap occurs when aggregate expenditures are:
A. Undetermined.
B. Greater than aggregate production.
C. Equal to aggregate production.
D. Less than aggregate production.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Question No:57 **(Marks:1)** **Vu-Topper RM**

Inverse relationship between the inflation rate and the unemployment rate is explained by:

A. Phillips Curve.

B. Okun law.

C. Price adjustment curve.

D. Aggregate demand curve.

Question No:58 **(Marks:1)** **Vu-Topper RM**

When too much money, chases too few goods, the resulting inflation is called

A. Stagflation

B. Deflation

C. Cost Push Inflation

D. Demand Pull Inflation

Question No:59 **(Marks:1)** **Vu-Topper RM**

According to the quantity theory of money, if there is inflation, what must have caused it?

A. An increase in the money supply

B. Increased velocity

C. Higher oil prices

D. Higher budget deficits

Question No:60 **(Marks:1)** **Vu-Topper RM**

Investment expenditures are expenditures made by the _____ sector:

A. Household

B. Foreign

C. Government

D. Business

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:61 **(Marks:1)** **Vu-Topper RM**

Which of the following is likely to happen in a boom period?

A. Imports are likely to grow.

B. Demand is likely to fall.

C. Prices are likely to fall.

D. Unemployment is likely to fall

Question No:62 **(Marks:1)** **Vu-Topper RM**

Which of the following is an injection into the circular flow of income?

A. Taxes

B. Imports

C. Saving

D. Exports

Question No:63 **(Marks:1)** **Vu-Topper RM**

change in expenditure is less but change in income is higher due to

A. Inelastic demand

B. Multiplier effect

C. Accelerator

D. Paradox of thrift

Question No:64 **(Marks:1)** **Vu-Topper RM**

A growth rate for lower income countries (LIC's) is considered healthy if it is:

A. Between 5% to 7%

B. Exactly 3%

C. Above 8%

D. Below 2%

Question No:65 **(Marks:1)** **Vu-Topper RM**

Government driven actual inflation in period t as expected in period t-1, and then agents erroneously spend more than they should, because:

A. Agents view the decrease as real rather than nominal

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

Vu Topper RM

For More Help Contact What's app 03224021365

B. Agents view the decrease as nominal rather than real
C. Agents view the increase as real rather than nominal
D. Agents view the increase as nominal rather than real

Question No:66 (Marks:1) Vu-Topper RM
If there is an excess demand for dollars in the market then it will:
A. Not affect the exchange rate
B. Push the exchange rate down
C. Push the exchange rate up
D. Increase poverty

Question No:67 (Marks:1) Vu-Topper RM
Falling inflation means that price level is rising at a(n):
A. Fluctuating rate.
B. Increasing rate.
C. Constant Rate.
D. Decreasing rate.

Question No:68 (Marks:1) Vu-Topper RM
Which of the following reflects greater consumer satisfaction?
A. Revaluation
B. Concessionaire
C. Devaluation
D. Appreciation

Question No:69 (Marks:1) Vu-Topper RM
Measures the value of output during a given year using the prices prevailing during that year is:
A. Real exchange rate
B. Nominal GDP
C. Nominal effective exchange rate
D. Real GDP

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:70 **(Marks:1)** **Vu-Topper RM**
Which of the following is TRUE about current account deficit?
A. None of the given options.
B. Private sector resource deficit.
C. Government budget deficit.
D. Private sector resource deficit + Government budget deficit.

Question No:71 **(Marks:1)** **Vu-Topper RM**
If there is less demand for dollars in the market then it will:
A. Push the exchange rate up.
B. Increase poverty.
C. Not affect the exchange rate.
D. Push the exchange rate down.

Question No:72 **(Marks:1)** **Vu-Topper RM**
The investment demand curve shows the relationship between the levels of:
A. Investment and interest rate.
B. Investment and consumption.
C. Investment and saving.
D. Consumption and interest rate.

Question No:73 **(Marks:1)** **Vu-Topper RM**
The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?
A. Demand-push inflation
B. Cost-push inflation
C. Demand-pull inflation
D. Cost-pull inflation

Question No:74 **(Marks:1)** **Vu-Topper RM**
Private sector resource deficit plus Government budget deficit is equal to:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

A. Producer budget deficit
B. Consumer budget deficit
C. Current account deficit
D. Capital account deficit

Question No:75 **(Marks:1)** **Vu-Topper RM**
In depreciation only those price declines that reflect:
A. A reduction in consumer satisfaction
B. Greater producer satisfaction
C. Greater consumer satisfaction
D. A reduction in producer satisfaction

Question No:76 **(Marks:1)** **Vu-Topper RM**
Percentage GDP gap is equal to:
A. (Actual GDP - Potential GDP)/Potential GDP
B. (Potential GDP – Actual GDP)/Actual GDP
C. (Potential GDP – Actual GDP)/Potential GDP
D. (Actual GDP - Potential GDP)

Question No:77 **(Marks:1)** **Vu-Topper RM**
"Capital widening" means:
A. More capital and more labour, but with the same amount of capital per unit of labour.
B. Importing capital from the developed world.
C. Increasing the usage of existing capital.
D. More capital per unit of labour.

Question No:78 **(Marks:1)** **Vu-Topper RM**
Which of the following is the formula to calculate unemployment rate?
A. Number of unemployed persons + labour force.
B. (Number of unemployed persons / labour force) x 100.
C. Number of employed persons / labour force x 100.
D. None of the given options.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:79 **(Marks:1)** **Vu-Topper RM**

Suppose the consumption function is C = 1000 + 0.75Y. If Y = 100, then the amount of consumption is:

A. 1100.

B. 1750.

C. 1075.

D. 1500.

Question No:0_1 **(Marks:1)** **Vu-Topper RM**

worth Rs. 95000. If the cost of production is Rs. 75000, the level of profit is:

15000.

17000.

20000.

26000.

According to Classical economists, economy always remains:

Stagnant.

At full employment level.

Below full employment level.

Above full employment level.

A price taker is:

A firm that accepts different prices from different customers.

A monopolistically competitive firm.

A firm that cannot influence the market price.

An oligopolistic firm.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

The output level in long run is determined by:

Aggregate demand.

Aggregate supply.

The government.

Money supply.

Business-cycle instability is best corrected through government policies is a primary implication of:

Classical Economists.

Monetarist.

J.M. Keynes.

New Classical Economists.

Famous concept “Government has a role in maintaining full employment” is given by:

J.M. Keynes.

Adam Smith.

David Ricardo.

J.B. Say.

According to Classical economists, an increase in aggregate demand would:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What’s app 03224021365

VuTopper RM

Only increase the price level.

Only increase the level of output.

Increase both the price level and the level of output.

Increase the price level and decrease the level of output.

Keynesian demand management policies could not be successfully applied in a situation of:

Stagflation.

Hyper inflation.

Cost push inflation.

Demand pull inflation.

In Car industry, there are fewer manufacturers that manufacture slightly differentiated cars. They take decisions by considering the actions of rival firms. This industry operates in:

Monopoly.

Oligopoly.

Natural Monopoly.

Monopolistic Competition.

In a classical model, a rightward shift in aggregate supply keeping aggregate demand constant will:

Increase the price level only.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Increase the level of output only.

Increase both the price level and the level of output.

Decrease the price level and increase the level of output.

Which one of the following is most likely to lead to an increase in aggregate demand if there is an increase in:

Government tax revenues.

Household savings.

Demand for imports.

Business capital investment

A monopolistically competitive firm in short run equilibrium:

Will make negative profit (lose money).

Will make zero profit (break-even).

Will make positive profit.

Any of the given is possible.

A Natural Monopoly is most likely to exist when there are:

Long term patents.

Large barriers to entry.

Government regulations.

Large economies of scale.

VuTopper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Royal Leather Industries Ltd Pakistan operates in a monopolistic competition and earns normal profit in the short run. In the long run, it will make:

Negative profits.

Abnormal losses.

Normal profits only.

Supernormal profits only.

To hire the next worker, the firm pays Rs.50. Fifty rupees is the:

Marginal cost.

Marginal revenue.

Marginal input cost.

Marginal revenue product.

According to classical economists, what was the main reason of fall in investment during great depression?

High interest rate

Low interest rate

Large government expenditures

Fall in consumption expenditures

The most important factor in determining the long-run profit potential in monopolistic competition is:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

Vu Topper RM

For More Help Contact What's app 03224021365

Free entry and exit.

The elasticity of the market demand curve.

The elasticity of the firm's demand curve.

The reaction of rival firms to a change in price.

The price level in long run is determined by:

Aggregate supply.

Aggregate demand.

The government.

Money supply.

Which of the following would cause the short run aggregate supply curve to shift to the left, but have no effect over the long run aggregate supply?

Prices of inputs decrease

Prices of inputs increase

The amount of factors of production increase

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

1 A study of how increases in the minimum wage rate will affect the national unemployment rate is an example of

A. descriptive economics.

B. normative economics.

C. macroeconomics.

D. microeconomics.

2 Aggregate supply is the total amount

A. of goods and services produced in an economy.

B. produced by the government.

C. of products produced by a given industry.

D. of labour supplied by all households.

3 The total demand for goods and services in an economy is known as

A. aggregate demand.

B. national demand.

C. gross national product.

D. economy-wide demand.

4 Deflation is

A. an increase in the overall level of economic activity.

B. an increase in the overall price level.

C. a decrease in the overall level of economic activity.

D. a decrease in the overall price level.

5 A recession is

A. a period of declining prices.

B. a period during which aggregate output declines.

C. a period of declining unemployment.

VU Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

D. a period of falling trade volumes.

6 Involuntary unemployment means that

A. people are not willing to work at the going wage rate.

B. **at the going wage rate, there are people who want to work but cannot find work**.

C. there are some people who will not work at the going wage rate.

D. there is excess demand in the labour market.

7 A cut in the income tax rate designed to encourage household consumption is an example of

A. expansionary demand-side policy.

B. contractionary demand-side policy.

C. expansionary supply-side policy.

D. contractionary supply-side policy.

8 A cut in the tax rate designed to reduce the cost of capital and hence encourage business investment is an example of

A. expansionary demand-side policy.

B. contractionary demand-side policy.

C. expansionary supply-side policy.

D. contractionary supply-side policy.

9 Macroeconomics is the branch of economics that deals with

A. the economy as a whole.

B. imperfectly competitive markets.

C. only the long run adjustments to equilibrium in the economy.

D. the functioning of individual industries and the behaviour of individual decision-making units - business firms and households.

10 A group of modern economists who believe that price and wage rigidities do not provide the only rationale for macroeconomic policy activism are called:

A. New- Keynesians.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

B. Keynesians.

C. Monetarists.

D. The Classical school.

11 Macroeconomic theory that emphasised the theories of Keynes and de-emphasised the Classical theory developed as the result of the failure of

A. economic theory to explain the simultaneous increases in inflation and unemployment during the 1970s.

B. fine tuning during the 1960s.

C. the economy to grow at a rapid rate during the 1950s.

D. **the Classical model to explain the prolonged existence of high unemployment during the Great Depression**.

12 Keynes believed falling wages were not a solution to persistent unemployment because

A. falling wages demoralised workers.

B. this would reduce the purchasing power of labourers as consumers. This in turn would bleaken firms' prospects of selling more goods, hence inducing them to cut their investment (and hence labour) demand.

C. the unemployment was caused by frictional and structural factors.

D. wages would fall more than required to clear the labour market.

13 The practice of using fiscal and monetary policy to stabilise the economy is known as

A. fine tuning of demand

B. monetarism

C. laissez faire economics

D. supply side economics

14 According to Classical models, the level of employment is determined primarily by

A. interest rates.

B. the level of prices.

C. the level of aggregate supply in the economy

D. the level of aggregate demand for goods and services.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

15 According to Keynes, the level of employment is determined by

A. interest rates.

B. the level of prices.

C. the level of aggregate supply in the economy

D. the level of aggregate demand for goods and services.

16 According to the Classical model, unemployment

A. could not persist because wages would fall to eliminate the excess supply of labour.

B. could persist for long periods of time because wages are not flexible.

C. could be eliminated only through government intervention.

D. could never exist.

17 To get the economy out of a slump, Keynes believed that the government should

A. increase both taxes and government spending.

B. increase taxes and/or decrease government spending.

C. cut both taxes and government spending.

D. **decrease taxes and/or increase government spending**.

18 Aggregate demand refers to the **total demand** for all domestically produced goods and services in an economy **generated from**

A. the household and government sectors.

B. the household sector.

C. all sectors except the rest of the world.

D. all sectors including the rest of the world.

19 Government policies that focus on increasing production rather than demand are called:

A. fiscal policies.

B. monetary policies.

C. incomes policies.

D. supply-side policies.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

20 Prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity demanded are

A. market prices.

B. sticky prices.

C. fixed prices.

D. regulatory prices.

21 The economists who emphasised wage-flexibility as a solution for unemployment were

A. Monetarists.

B. New-Keynesians.

C. Classical economists.

D. Keynesians.

22 According to the Classical economists, the economy

A. requires fine tuning to reach full employment.

B. should not be left to market forces.

C. will never be at full employment.

D. is self correcting.

23 Monetarism became popular because it was able to, unlike Classical or Keynesian economics, explain

A. stagflation in the late 1970s.

B. demand-pull inflation in the 1960s.

C. low growth rates in the 1950s.

D. the prolonged existence of high unemployment during the Great Depression.

24 Keynes' explanation for low firm investment during the Great Depression was

A. low savings, which placed a constraint on investment

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

B. high real borrowing rates, which discouraged firm borrowing

C. high savings, which left consumers with less money to spend on goods and serviced produced by firms

D. A permanent change in Europe's corporate ownership structures.

25 Rapid increases in the price level during periods of recession or high unemployment are known as

A. slump.

B. **stagnation**.

C. stagflation.

D. inflation.

26 The hypothesis that people know the 'true model' of the economy and that they use this model and all available information to form their expectations of the future is the

A. rational-expectations hypothesis.

B. active-expectations hypothesis.

C. static-expectations hypothesis.

D. adaptive-expectations hypothesis.

27 Neo-Classical theories were an attempt to explain

A. how unemployment could have persisted for so long during the Great Depression.

B. the stagflation of the 1970s.

C. why policy changes that are perceived as permanent have more of an impact on a person's behaviour than policy changes that are viewed as temporary.

D. the increase in the growth rate of real output in the 1950s.

28 A group of modern economists who believe that markets clear very rapidly and that expanding the money supply will always increase prices rather than employment are the

A. New-Keynesians.

B. Keynesians.

C. Monetarists.

D. The Classical school.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

29 Say's law states that:

A. Supply creates its own demand.

B. Demand creates its own supply.

C. There is no such things as a free lunch

D. Macroeconomic policy activism is essential to ensure full-employment.

30 The aggregate supply (AS) curve and aggregate demand (AD) curve in a realistic Keynesian world are:

A. AS: fully horizontal; AD: downward sloping

B. AS: horizontal only till the full capacity level; AD: downward sloping

C. AS: vertical; AD: upward sloping

D. AS: horizontal; AD: vertical

Vu Topper RM

MACROECONOMIC DATA AND VARIABLES, NATIONAL INCOME ACCOUNTING AND EQUILIBRIUM IN A KEYNESIAN ECONOMY

Questions 1-3 are based on the following information about an economy:

Consumer price index (2002) = 132

Consumer price index (2001) = 110

Nominal GDP (2002) = $60bn

Nominal GDP (2001) = $50bn

Population (2002) = 7mn

Population (2001) = 6mn

Net factor income from abroad (2002) = +$3bn

Net factor income from abroad (2001) = -$2bn

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

1. By how much has real GDP grown from 2001 to 2002?

A. -10%

B. 12.5%

C. 20%

D. 0%

2. By how much has per capita nominal GNP changed from 2001 to 2002?

A. -10%

B. 12.5%

C. 20%

D. 0%

3. Based on the above information, we can say that:

A. Poverty has fallen in the country

B. Per capita real GDP is falling

C. Income inequality has worsened

D. Real growth in the informal sector is 0%

4. In the circular flow of income, Keynesian equilibrium obtains when

A. All the individual sectors are in equilibrium: S=I, T=G, M=X

B. **The aggregate injections equal aggregate withdrawals S+T+M = I+G+X**

C. There is no inflation or unemployment

D. The interest rate and exchange rate are at their market clearing levels

5. Under conditions of Keynesian equilibrium:

A. aggregate demand equals aggregate supply

B. aggregate demand equals national income

C. both A and B

D. none of the above

VuTopper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

6. Which of the following is a determinant of consumption

A. expectations about future prices

B. level of indebtedness of consumers

C. the price level

D. all of the above

7. Which is the most volatile component of aggregate demand

A. Net exports

B. consumption

C. investment

D. government spending

8. Which of the following is not an obvious or direct determinant of a country's imports

A. real exchange rate

B. income

C. tariff rates

D. interest rate

9. When consumption is 650, income is 750; when consumption is 620, income is 700. Assuming there is no government, I=100, net exports are 10, what is the level of equilibrium income?

A. 500

B. 625

C. 775

D. 850

10. Which of the following is not true?

A. Starting from no growth, a positive output growth rate would be associated with even higher rates of investment (the accelerator effect)

B. Higher investment causes a multiplied increase in income

C. Such increases in income would continue to induce higher investment, which in turn would continue to cause multiplied increases in output.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

D. All of the above.

11. In the equation C = a + bY, which describes the aggregate consumption function, 'a' stands for

A. the amount of consumption when income is zero.

B. the marginal propensity to consume.

C. the amount of consumption when income is Maximum.

D. the average consumption level.

12. Total consumption divided by total income gives us:

A. **the average propensity to consume**.

B. the marginal propensity to save.

C. the marginal propensity of expenditure.

D. the marginal propensity to consume.

13 Disposable income is the part of households' income left after the deduction of

A. pension contributions.

B. income tax and social security payments.

C. income tax.

D. savings.

14. As the MPS increases, the multiplier will

A. increase.

B. either increase or decrease depending on the size of the change in investment.

C. remain constant.

D. decrease.

15. In macroeconomics, equilibrium is defined as that point at which

A. **planned aggregate expenditure equals aggregate output**.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

B. planned aggregate expenditure equals consumption.

C. aggregate output equals consumption minus investment.

D. saving equals consumption.

16. The ratio of the change in the equilibrium level of output to a change in some autonomous component of aggregate demand is the

A. elasticity coefficient.

B. **multiplier**.

C. marginal propensity of the autonomous variable.

D. automatic stabiliser.

17. Assuming there are no taxes (and no foreign sector), if the MPC is .8, the multiplier is

A. 2.5.

B. 8.

C. 5.

D. 2.

18. Assuming the net income tax rate is 25% (and there is no foreign sector), if the MPC is 0.8, the multiplier is

A. 2.5.

B. 8.

C. 5.

D. 2.

19. Assuming there is no foreign sector, if the multiplier is 3, and the net income tax rate is 20%, the MPC is

A. 3/4

B. 4/5

C. 5/6

D. 6/7

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

20. Assume there is no government or foreign sector. If the MPC is .75, a Rs.20 billion decrease in planned investment will cause aggregate output to decrease by

A. Rs. 80 billion.

B. Rs. 20 billion.

C. Rs. 26.67 billion.

D. Rs. 15 billion.

21. According to the 'paradox of thrift,' increased efforts to save will cause

A. an increase in income and an increase in overall saving.

B. a decrease in income and an overall decrease in saving.

C. a decrease in income but an increase in saving.

D. an increase in income but no overall change in saving.

22. If injections are less than withdrawals at the full-employment level of national income, there is

A. an inflationary gap.

B. equilibrium.

C. a deflationary gap.

D. hyperinflation.

23. The accelerator theory of investment says that induced investment is determined by

A. the rate of change of national income.

B. expectations.

C. the level of national income.

D. the level of aggregate demand.

24. The diagram that shows the money received and paid out by each sector of the economy is the

A. income-price diagram.

B. income-expenditures diagram.

C. circular flow diagram.

D. aggregate demand-aggregate supply diagram.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

THE BIG FOUR: UNEMPLOYMENT, INFLATION, BALANCE OF PAYMENTS AND GROWTH

UNEMPLOYMENT

1. If both the no. of unemployed people and the size of the labour force increase by 10,000, then

A. the unemployment rate will remain the same.

B. the unemployment rate will increase.

C. the unemployment rate will decrease.

D. we cannot tell.

2. Which of the following could be a reason for the problem of "lack of jobs" being overestimated:

A. the existence of disguised unemployment

B. people are underemployment

C. people holding only one job (as opposed to multiple jobs)

D. the existence of child labour

3. Which of the following is not a cost of voluntary unemployment?

potential output of the economy is greater than actual output
government loses tax revenue
firms lose (potential) revenues due to operating below capacity
mental stress undergone by the unemployed persons

4. "Because higher wages are less likely to induce people who are structurally or physically unable to participate on the labour force. On the other hand people already on the labour force are more likely to respond to higher wages by accepting jobs."

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

VuTopper RM

The above statement is an answer to which question?

Why is the AJ curve more elastic than the LF curve
Why is the LF curve not totally vertical
Why is the AJ curve not completely vertical
Why is it difficult to completely remove the horizontal distance between the AJ and LF curves

5. Which of the following would constitute sound government policy if you subscribed to the Monetarist view on unemployment?

increase aggregate demand through monetary or fiscal policy
reduce the obstacles to downward wage rigidity (like unions, unemployment benefits, minimum wage legislations etc.)
Reduce the marginal income tax rate (to increase the incentive to work)
All of the the above

6. The persistence of a phenomenon, such as unemployment, even when its causes have been removed is called

The paradox of thrift.
hysteresis.
structural unemployment.
ceteris paribus.

7. Cyclical unemployment is the

A. portion of unemployment that is due to changes in the structure of the economy that result in a significant loss of jobs in certain industries.

B. unemployment that results when people become discouraged about their chances of finding a job so they stop looking for work.

C. portion of unemployment that is due to seasonal factors.

D. unemployment that occurs during recessions and depressions.

8. The natural rate of unemployment is generally thought of as the

A. ratio of the frictional unemployment rate to the cyclical unemployment rate.

B. sum of frictional unemployment and cyclical unemployment.

C. sum of frictional unemployment and structural unemployment.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

D. sum of structural unemployment and cyclical unemployment.

9. One of the tenets of the Classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur

slowly.
instantly.
very infrequently.
very quickly.

10. According to Keynesian economists, those who are not working

have given up looking for a job, but would accept a job at the current wage if one were offered to them.
are too productive to be hired at the current wage.
have chosen not to work at the market wage.
are unable to find a job at the current wage rate.

INFLATION

11. The index used most often to measure inflation is the

consumer price index.
wholesale price index.
student price index.
producer price index.

12. If you were the owner of a cycle manufacturing firm, would you be particularly worried if wage inflation were higher than price inflation?

No. Because you would still be able to sell your goods at the higher price.
Yes. Because the cost of your input is growing faster than the revenue obtained from your output
Yes. Because both price and wage inflation are bad.
No. Because any loss to the firm will be offset by the gain to the workers.

13. Which of the following is not a major cost of inflation:

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Resource wastage: as people spend time and money to guard against the "purchasing power erosion" effects of inflation, while firms suffer menu costs (i.e. the costs of frequently issuing "revised" price lists).

Uncertainty: firms defer investment when inflation is high and volatile as the latter complicates predicting future cashflows.

Worsened income inequality: inflation is a regressive tax on the people that does not take into account the taxpayers' "ability to pay". As such, there is a redistribution of wealth from the poor to the rich.

Money printing costs: inflation requires more currency notes to be printed and this raises the government's printing costs.

14. In the long run, the Phillips curve will be vertical at the natural rate of unemployment if

the long-run supply curve is horizontal at the natural rate of inflation.
the long-run aggregate demand curve is vertical at potential GDP.
the long-run aggregate demand curve is horizontal at the natural rate of inflation.
the long-run aggregate supply curve is vertical at potential GDP.

15. According to the monetarists, the measured unemployment rate can

be reduced below the natural rate only in the short run, and not without inflation.
be reduced below the natural rate only in the long run, and only if the price level is constant.
be reduced below the natural rate only in the short run, and only if the price level is constant.
be reduced below the natural rate only in the long run, and not without inflation.

16. If the prices of all inputs seem to be rising, can you be absolutely sure that it is cost-push inflation?

No, because cost-push inflation is caused by an increase in the cost of only one input.
Yes, because that is exactly the definition of cost-push inflation.
No, because such a situation can also be caused by particular demand pressures in the economy.
Yes, because this is exactly what happens in stagflation.

17. The quantity theory of money implies that, provided velocity of money is constant, a given percentage change in the money supply will cause

an equal percentage change in nominal GDP.
a larger percentage change in nominal GDP.
an equal percentage change in real GDP.
a smaller percentage change in nominal GDP.

18. If input prices adjusted very slowly to output prices, the Phillips curve would be

downward sloping.
vertical or nearly vertical.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

upward sloping.
horizontal or nearly horizontal.

19. If inflationary expectations increase, the short-run Phillips curve will

become vertical.
become upwarding sloping.
shift to the right.
shift to the left.

BALANCE OF PAYMENTS

20. The record of a country's transactions in goods, services, and assets with the rest of the world is its _____; while the difference between a country's merchandise exports and its merchandise imports is the _____.

current account; trade balance.
capital account; balance of payments.
balance of trade; capital account.
balance of payments; balance of trade.

21. Assuming there is no government intervention in the foreign exchange market, which of the following statements must clearly be FALSE, given that?

If the capital account is in surplus, then the current account is likely to be in deficit.
If the current account is in deficit, then the capital account is likely to be in surplus.
If the current account is in balance, the capital account is also likely to be in balance.
None of the above.

22. Which of the following statements is necessarily TRUE?

A country runs a current account deficit if it imports more goods and services than it exports.
The sum of the current and capital accounts must be zero.
If both the current and capital accounts are in surplus, the exchange rate must appreciate.
None of the above.

23. All currencies other than the domestic currency of a given country are referred to as

A. reserve currencies.

B. near monies.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

C. foreign exchange.

D. hard currency.

24. Exchange rates that are determined by the unregulated forces of supply and demand are

floating exchange rates.
pegged exchange rates.
fixed exchange rates.
managed exchange rates.

25. If the State Bank of Pakistan reduces the money supply, a floating exchange rate will help in reducing inflation because

as the money supply is decreased, the interest rate will increase, and the price of both Pakistani exports and Pakistani imports will rise.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will rise and the price of Pakistani imports will fall.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will fall and the price of Pakistani imports will rise.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports and Pakistani imports will fall.

26. The fall (rise) in value of one currency relative to another is

a floating (fixing) of the currency.
an appreciation (depreciation) of a currency.
a depreciation (appreciation) of a currency.
a strengthening (weakening) of a currency.

27. If purchasing power parity prevails absolutely in a two country world, the real exchange rate between the two countries should be:

A. 1.

B. constantly changing.

C. relatively stable, but not constant

D. none of the above

28. The interest parity equation implies that there is a general tendency for:

exchange rates to be insensitive to the differential rates of interest between countries.
the currencies of relatively low-interest countries to appreciate.
the currencies of relatively high-interest countries to appreciate.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

VuTopperRM

the currencies of relatively low-interest countries to depreciate.

Note that currencies with low rates of interest also typically have low inflation rates. This follows from the Fischer equation which maintains that the nominal interest rate = real interest rate + expected inflation.

29. Which of the following is (are) correct statement(s) about the current account deficit?

A. A current account deficit is bad, if it is being caused by excessive consumer spending

B. A current account deficit is bad, if it is fuelled by high fiscal deficits

C. A current account deficit is good, if it is caused by the excess of productive domestic investment over domestic savings

D. All of the above

30. The J-curve effect refers to the observation that

GDP usually decreases before it increases after a currency depreciation.
GDP usually decreases before it increases after a currency appreciation.
the trade balance usually gets worse before it improves after a currency appreciation.
the trade balance usually gets worse before it improves after a currency depreciation.

31. If Japan exports more direct investment capital abroad than expected, then the yen will tend to

appreciate.
fluctuate more than if exports were lower.
depreciate.
not be affected.

32. Today is Tuesday morning. If currency dealers expect the value of the dollar to fall by 10% on Wednesday, then, ceteris paribus, what will happen by the end of today to the Rs./dollar exchange rate? It will:

Rise by more than 10%.
Rise by exactly 10%.
Fall by less than 10%.
Remain constant.

Hint: Use your common sense. Think of “yourself” as a currency trader and then answer the question, based on your future expectation and the incentive it creates.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What’s app 03224021365

GROWTH

33. According to traditional thinking on the subject, which of the following would not generate economic growth in an economy?

A. an increase in the size of the labour force.

B. an increase in the productivity of capital.

C. a move to more capital intensive production methods

D. discovery of a major mineral resource in the country

34. When referring to economic growth, we normally refer to:

A. growth in actual real per capita output

B. growth in potential real per capita output

C. growth in actual nominal per capita output

D. growth in potential real per capita output

35. A variable whose value is determined by the model of which it is a part is termed _____.

A. endogenous

B. exogenous

C. independent

D. constant

36. An example of capital deepening, given an increasing L, would be:

A. K increases so as to maintain a constant K/L

B. K increases so much that K/L increases

C. K remains constant so that L/K increases

D. K falls, so as to reduce K/L

37. The neo-classical growth model says that:

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

poor countries should catch-up (or converge to) with richer countries
higher savings (or rates of capital accumulation) cannot raise a country's steady state growth rate
the steady state growth rate of real output depends on the sum of the (exogenous) growth rates in population and technical progress.
All of the above.

RELATIONSHIPS BETWEEN THE BIG FOUR

38. The length of a business cycle would be measured from

peak to trough.
trough to peak.
peak to peak.
the slump to the expansion.

39. If the economy is in the expansionary phase of the business cycle, aggregate demand is likely to be _____ , unemployment is likely to be _____ , inflation is likely to be _____ , and the current account of the balance of payments is likely to be moving towards _____.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

40. If the economy is at the peak of the business cycle, aggregate demand is likely to be _____ , unemployment is likely to be _____ , inflation is likely to be _____ , and the current account of the balance of payments is likely to be moving towards _____.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

41. If the economy is approaching the trough phase of the business cycle, aggregate demand is likely to be _____ , unemployment is likely to be _____ , inflation is likely to be _____, and the current account of the balance of payments is likely to be moving towards _____.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

VU Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

42. Which of the following is not true regarding the effects of growth on the balance of payments and vice versa?

A. Generally, growth raises incomes which will translate into higher consumption and higher imports, causing the current account of the BOPs to deteriorate.

B. If growth is “export-led”, it will boost the current account surplus of the BOPs.

C. If the current account deficit reflects an underlying private sector resource deficit, it is likely to be bad for future growth.

D. If the current account reflects rising imports of military equipment by the government, it might not be beneficial for economic growth.

43. A country has high inflation and is running a current account deficit. What should it do in the context of the Salter-Swan diagram?

A. Reduce government spending and revalue the exchange rate

B. Increase government spending and devalue the exchange rate

C. Reduce the money supply and devalue the exchange rate

D. Increase government spending and revalue the exchange rate

Vu Topper RM

FISCAL POLICY AND TAXATION, MONEY AND MONETARY POLICY, IS-LM APPROACH

1. A government’s attempt to reduce its defence expenditure is an example of __(i)__, while a government effort to raise interest rates is an example of __(ii)__.

	(i)	(ii)
A.	monetary policy.	fiscal policy.
B.	**fiscal policy.**	**monetary policy.**
C.	incomes policy.	incomes policy.
D.	supply-side policy.	supply-side policy.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What’s app 03224021365

2. According to the Laffer curve, as tax rates increase, tax revenues

decrease continuously.
initially decrease and then increase.
rise continuously.
initially increase and then decrease.

3. The government imposes a new income tax legislation under which every male taxpayer must pay 15% of his income as taxes, while every female taxpayer must pay 20% of her income as taxes. Such tax legislation violates which equity principle?

Both horizontal equity and vertical equity
Vertical equity only
Horizontal equity only
Neither

4. A 15% VAT is a(n):

Proportional income tax.
Fixed excise duty.
Ad valorem indirect tax.
None of the above.

5. Tax incidence is the

ultimate distribution of a tax's burden.
measure of the impact the tax has on employment and output.
behaviour of shifting the tax to another party.
structure of the tax.

6. You know that all taxes are distortionary. Under what conditions will this knowledge lead you to oppose the imposition of every single tax in the economy?

If you live in a 1st best world
If you live in a 2nd best world
If the tax rates on some of the items are prohibitively high
Either of the above

7. The automatic stabilisation function of fiscal policy ensures that government expenditures _____(i)_____ and government revenues _____(ii)_____ during recessions.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

(i) (ii)

A. decrease decrease

B. decrease increase

C. increase decrease

D. increase increase

8. Let us say assume the Pakistani government is facing a fiscal deficit. Which of the following would not constitute a possible method of financing this deficit?

printing rupees (borrowing from the central bank)
selling dollars in the foreign exchange market
imposing new taxes or raising existing tax rates
borrowing from an international financial institution

9. Which of the following is not a correct argument against a fiscal policy expansion – say a tax cut – aimed at lifting aggregate demand?

A. The expansion might become pro-cyclical ex-post, given the lag time required to change fiscal policy.

B. Fiscal policy works with a lag, thus a tax cut introduced today would not have an expansionary effect on aggregate demand till many months later.

C. The fiscal expansion would increase distortion in the economy.

D. Lower taxes would increase the government's borrowing requirement, which in turn would cause interest rates to rise, which in turn would i) cause the exchange rate to appreciate, which in turn would cause the current account to move into deficit, and ii) crowd out private investment.

10. The increase in base money divided by the corresponding induced increase in commercial bank deposits is the

A. bank's line of credit.

B. reserve ratio.

C. current ratio.

D. money multiplier.

11. If the State Bank of Pakistan wished to pursue a 'tight' monetary policy, it would

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

A. lower the required reserve ratio and the statutory liquidity ratio.

B. lower interest rates**.**

C. buy government securities on the open market.

D. sell government securities on the open market.

12. An item designated as money that is intrinsically worthless could be

A. a currency note.

B. a silver coin.

C. a barter item.

D. any tradeable commodity.

13. A checking deposit (or current account) held at a commercial bank is considered _____ of that bank.

A. an asset.

B. net worth.

C. a liability.

D. capital.

14. Which of the following activities is one of the responsibilities of the State Bank of Pakistan?

A. **Monitoring the financial health of banks and non-bank financial insitutions**.

B. Auditing the various agencies and departments of the government.

C. Issuing bonds on international capital markets to finance the fiscal deficit.

D. Loaning money to other countries that are friendly to Pakistan.

15. A bank has excess liquidity reserves to lend but is unable to find a willing borrower. This will _____ the size of the money multiplier.

A. reduce

B. increase

C. have no effect on

D. double

VU Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

16. The quantity of money demanded increases with income. Thus if income increases, the opportunity cost of holding money must go up in order to reduce money demand and re-establish equilibrium in the money market. This relation is captured by:

A. an upward sloping LM curve.

B. a downward sloping L curve.

C. a downward sloping IS curve.

D. the circular flow of money in the economy.

17. When economists speak of the 'demand for money,' which of the following questions are they asking?

A. How much cash do you wish you could have?

B. How much wealth would you like?

C. How much income would you like to earn?

D. What proportion of your financial assets do you want to hold in non-interest bearing forms?

18. Which of the following will not cause money supply to expand, given a fully floating exchange rate regime and a fixed supply of dollars in the market

The central bank buying foreign currency in the foreign exchange market
redemption of central bank liquidity paper
build-up of commercial banks' deposits held with the central bank
decrease in the central bank discount rate

19. Which of the following events will lead to a decrease in the demand for money?

An increase in the level of aggregate output.
A decrease in the supply of money.
A decrease in the interest rate.
A decrease in the price level.

20. Which of the following is neither a determinant of the slope of the IS curve nor a determinant of the slope of the LM curve?

the sensitivity of interest rates to investment
the sensitivity of money demand to income
the sensitivity of money demand to interest rates

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

the sensitivity of income to investment

21. Given a Keynesian world, a cut in taxes coupled with a lower reserve ratio for banks would have what effect on equilibrium income and interest rate?

Both income and the interest rate will remain unchanged
income will come down, but the interest rate will go up
income will go up, but the effect on the interest rate cannot be predicted
interest rates will go down, but the effect on income cannot be predicted

22. If the government increases its spending, but this causes prices to rise, what will "eventually" happen to the equilibrium income and interest rate?

A. Both income and the interest rate will remain unchanged
B. income will come down, but the interest rate will go up
C. income will go up, but the effect on the interest rate cannot be predicted
D. interest rates will go down, but the effect on income cannot be predicted

23. If the income elasticity of money demand and the Keynesian multiplier, both increase in an economy (ceteris paribus), how will the relative effectiveness of monetary and fiscal policy change?

Fiscal policy will become relatively more effective than monetary policy
Fiscal policy will become relatively less effective than monetary policy
The relative effectiveness of fiscal and monetary policy will remain unchanged
Both fiscal and monetary policy will become more effective.

24. The intersection of the IS and LM curves captures:

A. the equilibrium of the demand and supply sides of the economy
B. the equivalence of monetary and fiscal policy
C. joint equilibrium in the goods and money markets
D. all of the above

1. Disposable Income is obtained by subtracting _____taxes from personal income:

Indirect Taxes

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Direct Taxes
Subsidies
None

2. Per capita income is obtained by dividing National Income by:

Total labor Force in the Country
Unemployed Youth in the Country
Total population of that country.
None

3. The investment demand curve shows the relationship between the levels of:

A. Investment and Consumption
B. Consumption and Interest Rate
C. Investment and Interest Rate
D. None

4. The situation in which the imports are greater than exports is termed as:

Trade Surplus
Trade Deficit
Budget Surplus
None

5. Fiscal policy is the government programme with respect to it's:

Steel Mill Privatization
Unemployment Reduction
Expenditure and Tax revenue
None

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

6. Imports for any economy are considered as:

A. Injections

B. Leakages

C. Brain Drain

D. None

7. The accelerator is a related concept which formalizes the investment response to:

Consumption
Interest rate
Output
None

8. According to Keynes macroeconomic equilibrium is attained when:

A. Prime Minister is PhD in Macroeconomics

B. Aggregate Demand Equals Aggregate Supply

C. Inflation Exists in Economy.

D. None

9. There are _____methods of measuring GDP:

Four
Three
Five
None

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

10. Intermediate goods are meant for:

Direct use by the consumers
further processing
The term do not exist
None

1. Fiscal policy refers to:

The actions of the central bank in controlling the money supply.
The spending and taxing policies used by the government to influence the economy.
The government's regulation of financial intermediaries.
None of the given options.

2. Disposable income is:

Total income plus transfer payments
Total income minus saving.
Total income plus net taxes.
Total income minus net taxes.

3. The deficit tends to decrease when:

GDP decreases slightly.
GDP decreases rapidly.
GDP increases.
GDP remains unchanged.

4. Money or paper currency serves at least _____ functions:

Four
Three
Five

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Seven

5. The economic logic behind granting central banks independence from government in the conduct of monetary policy is:

To eliminate seignior age.
To allow open market operations.
To enhance the credibility of monetary policy.
None of the above.

6. An expansionary fiscal policy can:

Raise the national debt.
Decrease the national debt.
Have no effect on national debt.
None of above.

7. Which is high powered money?

M1
M2
Mo
None

8. There are _____major instruments of monetary policy:

Three
Four
Five
None

9. The rate at which central bank lends to commercial banks is known as:

Reserve rate.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Discount rate.
Open market operation.
None.

10. Identify the three motives of money demand:

Accumulative, speculative, precautionary
Speculative, transaction, precautionary
Precautionary special, transaction
None

1. **If, in a fully employed, closed economy, the supply of money and the velocity of circulation of money both increase, then in the short-run.**

Unemployment of factors will result
Real national output will expand
The volume of transactions will increase
The average level of prices will rise

2. **An increase in the rate of inflation which is not accompanied by any change in the volume of consumer goods sold will automatically increase the:**

Revenue from Value Added Tax
Level of company profits
Level of unemployment
Average level of wages

3. **The increase in the Public Sector Borrowing Requirement (PSBR) to almost £50 billion this year will automatically lead to:**

A higher rate of inflation
A fall in the rate of unemployment
An increase in the National Debt
A deterioration in the Balance of Payments

4. **The investment demand curve shows the relationship between the levels of:**

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Investment and Consumption
Consumption and Interest Rate
Investment and Interest Rate
None

5. According to Classical models, the level of employment is determined primarily by:

a. The level of aggregate demand for goods and services.
b. Prices and wages.
c. **Government taxation.**
d. Government spending.

6. Which of the following is not an important variable in growth accounting calculations?

Productivity growth
Money supply growth
Labor growth
Capital growth

7. The per-worker production function relates:

Output per worker to capital per worker.
Output per worker to production per worker.
Output per worker to factors of production per worker.
Production per worker to the size of the work force.

8. In a steady-state economy:

Net investment equals depreciation rate.
Per capita capital stock grows at the rate of labour growth.
Per capita capital stock remains constant.
Net investment equals the consumption.

9. The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?

VuTopper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Cost-pull
Cost-push
Demand-pull
Demand-push

10. The IMF is an agency charged with providing:

a. Technical assistance to stock market and financial market problems.

b. Loans for post-World War II reconstruction.

c. Short-term credit for international balance of payments deficits.

d. Bonds denominated in U.S. dollars as a loan to LDCs.

11. In a portfolio investment:

a. Investors are directly involved in managing the operations.

b. As in direct investment, investors export goods and services abroad.

c. Investors transfer the technology to local investors.

d. Investors have no control over operations.

12.Inflation:

Reduces both the purchasing power of the dollar and one's real income
reduces the purchasing power of the dollar and increases one's real income
Reduces the purchasing power of the dollar but may have no impact on one's real income
Increases the purchasing power of the dollar and reduces one's real income

13.One of the tenets of the classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur:

Slowly.
Quickly.
Very infrequently.
Instantly.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

14.Those that hold the classical view of the labour market are likely to believe that:

Monetary, but not fiscal policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Fiscal, but not monetary policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

15.Potential GDP is the level of aggregate output:

That can be produced if structural unemployment is zero.
That can be produced at a zero unemployment rate.
That can be sustained in the long run, if the inflation rate is zero.
That can be sustained in the long run without inflation.

16.Which school of economic thought suggested that one possible cause of inflation was a 'push' from the cost side?

New classical economists.
Monetarists.
Marxists.
Keynesians.

17.An unspoken agreement between workers and firms that the firm will not cut wages is known as:

An explicit contract.
An implicit or social contract.
Employment-at-will.
A relative-wage contract.

18.To offset the downswing in the business cycle, the government announces a major increase in public expenditure.

Technological Unemployment
Demand Deficient Unemployment
Real Wage Unemployment
Regional Unemployment

19.The government puts pressure on trade unions to make pay claims which are below the increase in productivity over the past year.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Frictional Unemployment
Technological Unemployment
Structural Unemployment
Real Wage Unemployment

20. In which case is total expenditure in an economy not equal to total income?

a. If total saving is larger than total investment

b. If net exports are not zero

c. If inventory investment is negative

d. None of the above--they are always equal

Lesson 23

Under the kinked demand curve model, an increase in marginal cost will lead to:

An increase in output level and a decrease in price.

A decrease in output level and an increase in price.

A decrease in output level and no change in price.

Neither a change in output level nor a change in price.

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

Duopoly.

Cartel.

Market sharing monopoly.

Natural monopoly.

Ref by Rey:

The Oligopoly/cartels is the one having qualities of monopoly and perfect Competition. So this is much like a pure monopoly except it has members who make a group to control and price and output. The group of people acts as monopoly. It is possible that the members of firm tend to cheat on agreed price and output strategies.

In the complete classical model, a rightward shift of the labor supply curve will:

Decrease the price level and increase the nominal wage.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Decrease the nominal wage and increase the price level.

Decrease both the price level and the nominal wage.

Increase both the price level and the nominal wage.

Lesson 27

Which of the following events could cause the aggregate demand curve to shift to the right?

An increase in the rate of inflation.

A decrease in government expenditures.

A decrease in investment spending.

A decrease in income tax rates.

Lesson 26

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

Keynesian.

New classical.

Old classical.

New Keynesian.

Lesson 25

Keynesian economics was the predominant economic theory:

Prior to the late 1700s.

From the late 1700s to the early 1900s.

From 1930s to 1970s.

Since 1970s.

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

Monetarism.

Rational expectations.

Keynesian economics.

Neoclassical economics.

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Both prices and output to rise.

Prices to fall and output to remain unchanged.

Both prices and output to fall.

Prices to rise and output to remain unchanged.

Intermediate goods are meant for:

Direct use by the consumers.

Further processing.

The term do not exist.

None of the given options.

Lesson 28

Final goods are meant for:

Direct use by the consumers.

Further processing.

The term do not exist.

None of the given options.

Which of the following is a flow variable?

The value of the house in which you live.

The balance in your savings account.

Your monthly consumption on food items.

The number of carrots in your refrigerator at the beginning of the month.

Flow variable is a variable whose value depends on a period of time rather than an instant. Flow variable is a quantity which is measured during some time period.

Which of the following is NOT a stock variable?

Government debt.

Capital.

The amount of money held by the public.

Inventory investment.

The stock variables are those variables which do not have any time restriction.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

All other things remain the same, Gross Domestic Product (GDP) will rise if:

Imports rises.

Exports falls.

Durable goods consumption rises.

Military spending falls.

If disposable income increases from $5 trillion to $6 trillion and as a result, consumption expenditure increases from $7 trillion to $7.8 trillion, the Marginal Propensity to Consume is:

1.0.

0.8.

5/7 = 0.71.

6/7.8 = 0.77.

Marginal propensity to consume (MPC) is the extra amount that people consume when they receive an extra dollar of disposable income.

The slope of the consumption function (or line) is the:

Average propensity to save.

Average propensity to consume.

Marginal propensity to save.

Marginal propensity to consume.

The slope of the consumption function is the marginal propensity to consume, defined as the change in consumption associated with a change in disposable income.

Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

0.2.

0.4.

0.6.

0.8.

Marginal propensity to save:

MPS = ΔS / ΔYd

=40,000/50,000=0.8

The unemployment rate is equal to:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Number of employed / labour force x 100.

Number of unemployed / labour force.

(Number of unemployed / labour force) x 100.

None of the given options.

The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and unemployed people.

The traditional Phillips Curve shows the:

Inverse relationship between the rate of inflation and unemployment rate.

Inverse relationship between the nominal and real wage.

Direct relationship between unemployment and demand-pull inflation.

Tradeoff between the short run and long run.

Deflation is:

An increase in the overall level of economic activity.

An increase in the overall price level.

A decrease in the overall level of economic activity.

A decrease in the overall price level.

Deflation is the opposite of inflation and occurs when the general level of prices falls.

Is Grosss Domestic Product (GDP) an accurate measure of a country's well being?

Yes, it is the best measure of national well being.

Yes, provided we use real GDP and not nominal GDP.

Uncertain, depending on whether GDP is rising or falling.

No, it is not.

Real Gross Domestic Product (GDP):

Is nominal GDP adjusted for changes in the price level.

Is also called nominal GDP.

Measures GDP minus depreciation of capital.

Will always change when prices change.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

A higher output level than before.

The same output level as before.

A lower output level than before.

The Golden Rule output level.

Lesson 39

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model states that as a fixed stock of labor, the impact on output of the last unit of capital accumulated will always be less than the one before.

A currency appreciation:

Reduces aggregate demand and increases aggregate supply.

Reduces both aggregate demand and aggregate supply.

Increases aggregate demand and reduces aggregate supply.

Increases both aggregate demand and aggregate supply.

Currency Appreciation means that the given currency has become more valuable with respect to another currency. A currency appreciation reduces aggregate demand and raises aggregate supply.

M1 component of money supply consists of:

Paper currency and coins.

Paper currency, coins and check writing deposits.

Paper currency, coins, check writing deposits and savings deposits.

Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Lesson 41

M1: is M0 (currency notes and coins that are in circulation in the economy) + all current (or checking) deposits held with commercial banks. Checking deposits are accounts from which the holders can withdraw money at any time.

Personal income:

Is income received by individuals during a given year.

Is the income individuals have available for spending during a given year.

Equals national income minus indirect taxes.

Is the sum of wages plus interest received by individuals during a given year.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Lesson 29

Personal income of an individual is the total amount of income s/he receives form deploying all the different factors of production s/he owns.

Real Gross National Product (GNP) is best defined as:

The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

The current pound value of all new and used goods produced and sold in the economy during a particular time period.

The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

Real GDP includes only goods; nominal GDP includes goods and services.

Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.

Real GDP is equal to nominal GDP less the depreciation of the capital stock.

Real GDP is equal to nominal GDP multiplied by the CPI.

Lesson 29

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

GNP = GDP – Net income from abroad.

GNP = GDP + Net income from abroad.

GNP = NNP – Net income from abroad.

GNP = NNP + Net income from abroad.

Lesson 29

Gross domestic product (GDP) is the market value of:

► All transactions in an economy during one-year period.

► All goods and services exchanged in an economy during one-year period.

► All final goods and services exchanged in an economy during one-year period.

► **All final goods and services produced in a domestic economy during one-year period**.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

Gross domestic product (GDP) is the total market value of all final goods and services produced within the political boundaries of an economy during a given period of time, usually a year.

Which of the following shows the Fisher equation of exchange?

MT=PV.

VT=PM.

MV=PQ

MY=VP.

Fisher's equation of exchange states MV = PT. M is the money supply; V is the velocity of circulation; P is averageprices and T is the number of transactions.

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

Overvalued exchange rate.

Undervalued exchange rate.

Fixed exchange rate.

Flexible exchange rate.

It is same as floating exchange rate, it is an exchange rate between two currencies that is allowed to fluctuate with the market forces of supply and demand.

In the equation MV = PQ, according to the crude quantity theory of money:

M has no effect on the price level.

V is the number of times each dollar is spent per year.

Q is the real price level.

P rises as V falls, other things constant.

In the Keynesian cross model, the 45-degree line has a slope of:

45.

Infinity.

1.

0.

In Keynesian cross model the 45-degree line has a slope of one; it indicates that the induced slope of the consumption line is less than one.

In Keynesian economics, equilibrium can occur:

Only at full employment level.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Goods produced by oligopolistic industries are typically:

Standardized

Differentiated

Differentiated if industrial goods

Differentiated if consumer goods

Only at levels less than full employment.

Only at levels greater than full employment.

At any level of aggregate output which is equal to aggregate expenditures.

Equilibrium will be attained where output equals the spending level.

After a decrease in the wage, the substitution effect implies that:

Only the amount demanded of capital decreases.

Only the amount demanded of labor decreases.

Only the amount demanded of capital increases.

The amount demanded of all inputs increases.

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.

The same as its average revenue curve and its marginal revenue curve.

The same as its marginal revenue curve but not its average revenue curve.

Not the same as either its marginal revenue curve or its average revenue curve.

Many industrial goods produced by oligopolies are standardized--copper, zinc, and steel, for example. Oligopolistic consumer goods industries are typically differentiated and are characterized by substantial advertising.

ndustry's raw material costs decrease, other things remaining the same:

supply curve shifts to the right.

supply curve shifts to the left.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

put increases regardless of the market price and the supply curve shifts upward.

put decreases and the market price also decrease.

olist market, a new entrant firm should produce where:

ginal Cost < Marginal Revenue.

ginal Cost > Marginal Revenue.

ginal Cost = Marginal Revenue.

ginal Cost = Average Revenue.

price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

ectly elastic.

elastic.

e elastic.

e inelastic.

important factor in determining the long-run profit potential in monopolistic competition is:

entry and exit.

elasticity of the market demand curve.

elasticity of the firm's demand curve.

reaction of rival firms to a change in price.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

polist sets his output such that marginal revenue, marginal cost and average total cost are equal, economic profit must be:

ative.

tive.

.

terminate from the given information.

If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:

Rs.25.

Rs.50.

Rs.75.

Rs.100.

Consumer Surplus:

Consumer surplus is the difference between willingness to pay and what the consumer actually has to pay: i.e. CS= MU-P

In pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.

Consumers are free to buy goods and services that they want.

Resources are distributed freely to businesses that want them.

Government is free to direct the actions of businesses.

Capitalism, economic system based on private ownership of the means of production, in which personal profit can be acquired through investment of capital and employment of labor. Capitalism is grounded in the concept of free enterprise, which argues that government intervention in the economy should be restricted and that a free market, based on supply and demand, will ultimately maximize consumer welfare.

Which of the following is true about the market mechanism?

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

It is not a very efficient means of communicating consumer demand to the producers of goods and services.

It works through central planning by government.

It eliminates market failures created by government.

It works because prices serve as a means of communication between consumers and producers.

Market mechanism is a term from economics referring to the use of money exchanged by buyers and sellers with an open and understood system of value and time trade offs to produce the best distribution of goods and services.

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?For Monopoly.

For Oligopoly.

For Perfect competition.

For Monopolistic competition.

Lesson 18

PERFECT COMPETITION

The main assumptions of perfect competition are:

i. Large number of buyers and sellers, therefore firms price-takers.

ii. No barriers to entry (also implies free mobility of factors of production).

iii. Identical/homogeneous products

iv. Perfect information/knowledge

Which of the following will happen if there is an increase in the long term economic growth?

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

The production possibilities curve will shift outward.

The production possibilities curve will shift inward.

There will be a movement from inside the production possibilities curve to a point on the production possibilities curve

There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

Economy grows when its production capacity increases (outward shift of production possibilities curve).

Which of the following can be thought of as a barrier to entry?

Scale economies.

Patents.

Strategic actions by incumbent firms.

All of the given options are true.

Goods produced by oligopolistic industries are typically:

Standardized

Differentiated

Differentiated if industrial goods

Differentiated if consumer goods

Reference by /*~1 Nation~*\

Identical or Differentiated Products: Some oligopolistic industries produce identical products, while others produce differentiated products. Identical product oligopolies tend to process raw materials or intermediate goods that are used as inputs by other industries. Notable examples are petroleum, steel, and aluminum. Differentiated product oligopolies tend to focus on consumer goods that satisfy the wide variety of consumer wants and needs. A few examples of differentiated oligopolistic industries include automobiles, household detergents, and computers.

The relationship between consumer spending and income is known as the:

45-degree line.

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Consumption function.

Investment function.

Consumer price index.

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

Product diversity.

Excess capacity.

The fact that price exceeds marginal cost.

The fact that long-run average cost is not minimized.

If a country has flexible exchange rates and has more rapid inflation than other countries, its currency will:

Appreciate.
Depreciate.
Not change.
All of the given conditions may be possible.

Those who hold the classical view of the labour market are likely to believe that:

Monetary, but not fiscal policy will have an effect on output and employment
Fiscal but not monetary policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

If demand for automobiles increases and the supply curve do not shift then result will be:

Higher price and lower quantity of automobiles.

Which of the following is the requirement of an industry to be perfectly competitive?

Product Differentiation.

VuTopper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

The law of diminishing returns assumes

There are no fixed factors of production.

An indifference curve is a collection of market baskets that:

Are equally desirable to the consumer.

If government imposes a price ceiling on wheat, which of the following will occur in the market for wheat?

There will be excess demand for wheat.

If the cost of parts of automobiles rises, then

The supply curve for automobiles shifts to the right.

At the equilibrium price, there will be

Neither a shortage nor a surplus.

Sugar can be produced from sugar beets. If the price of sugar beets falls, then:

missed

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Suppose Saqib spends all his income on magazines. To get maximum level of satisfaction, the marginal utility of last dollar of income spent on magazines must be:

Negative.

If marginal product is below average product:

Average variable costs will fall

Suppose Fauji Fertilizer Company Limited produces 4500 bags of Sona Urea and sells each bag at a price of Rs. 350. What is the total revenue this firm gets by selling 4500 bags?

missed

The total cost (TC) function is given as TC = 200 + 8Q. What is the marginal cost?

8Q

The more inelastic the demand, the more of the tax's burden will fall on

consumer

If a decrease in price increases total revenue:

Demand is elastic.

The demand curve faced by an individual firm in a competitive market is

Horizontal.

Which of the following might be considered to be a characteristic of a planned economy?

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

Vu Topper RM

For More Help Contact What's app 03224021365

even income distribution

Calculating elasticity at a certain point involves:

Point elasticity of demand.

If the odd ratio is equal to one then we can say that the odd is:

Fair odd.

A rational person does not act unless

the action produces marginal benefits that exceed marginal costs

Price elasticities are measured in percentage terms because

it gives more accurate answer

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve.**

f both supply and demand increase simultaneously, the equilibrium:
► **Price must rise and the equilibrium quantity must fall.**
► Price must rise and the equilibrium quantity may either rise or fall.
► Quantity must rise and the equilibrium price may either rise or fall.

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

► Price must fall and the equilibrium quantity may either rise or fall.

ECO401 - Economics - Q.No. 3 (M - 1)
A normal good can be defined as one which consumers purchase more of as:

► Prices fall.
► Prices rise.
► Incomes fall.

► Incomes increase.

ECO401 - Economics - Q.No. 4 (M - 1)
Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► Economies of scale.
► Diseconomies of scale.
► Decreasing returns to the labor inputs.
► Increasing returns to the labor inputs.

ECO401 - Economics - Q.No. 5 (M - 1)
Incremental cost is the same concept as:
► Average cost.
► Marginal cost.
► Fixed cost.
► Variable cost.

ECO401 - Economics - Q.No. 6 (M - 1)
Graphically, marginal revenue is defined as:
► The slope of a line from the origin to a point on the total revenue curve.
► The slope of a line from the origin to the end of the total revenue curve.
The slope of the total revenue curve at a given point.

ECO401 - Economics - Q.No. 7 (M - 1)
The good produced by a monopoly:
► Has perfect substitutes.
► Has no substitutes at all.
► Has no close substitutes.
► Can be easily duplicated.
Reference. by sehar khan

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

In Monopoly, firm is price maker. A monopoly or a firm within monopolistic competition that has the power to influence the price it charges as the good it produces does not have perfect substitutes. A monopoly is a price maker as it holds a large amount of power over the price it charges.(same referance for b0th questions)

ECO401 - Economics - Q.No. 8 (M - 1)
The maximum price that a consumer is willing to pay for a good is called:

- ► The reservation price.
- ► **The market price.**
- ► The first-degree price.
- ► The block price.

ECO401 - Economics - Q.No. 9 (M - 1)
A market with few entry barriers and with many firms that sell differentiated products is:

- ► Purely competitive.
- ► A monopoly.
- ► **Monopolistically competitive.**
- ► Oligopolistic.

ECO401 - Economics - Q.No. 10 (M - 1)
Monopolistically competitive firms have monopoly power because they:

- ► Are great in number
- ► Have freedom of entry.
- ► Are free to advertise.
- ► **Face downward sloping demand curves.**

ECO401 - Economics - Q.No. 11 (M - 1)
The market structure in which there is interdependence among firms is:

- ► Monopolistic competition.
- ► **Oligopoly.**
- ► Perfect competition.
- ► Monopoly.

ECO401 - Economics - Q.No. 12 (M - 1)
When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

► **Hire more labor.**
► Hire less labor.
► Maintain the same employment.
► Decrease output.

ECO401 - Economics - Q.No. 13 (M - 1)
Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

► The amount of factors of production (such as labor and capital) increases.
The amount of factors of production (such as labor and capital) decreases.

Prices of inputs (such as wages or oil prices) increase.
► Prices of inputs (such as wages or oil prices) decrease.

ECO401 - Economics - Q.No. 14 (M - 1)
Which of the following is NOT a stock variable?

► Government debt.
► Capital.
► The amount of money held by the public.
► **Inventory investment.**

ECO401 - Economics - Q.No. 15 (M - 1)
The circular flow principle guarantees that in equilibrium:

► The level of investment spending will be equal to the level of private savings.
► The level of exports will be equal to the level of imports.
► **The level of aggregate demand will be equal to real Gross Domestic Product.**
► The level of government spending will be equal to tax revenue.

ECO401 - Economics - Q.No. 16 (M - 1)
Unemployment benefits may increase the unemployment rate because:

► Unemployment benefits reduce the cost of job search.
► Unemployment benefits encourage people to quit their jobs.
► Unemployment benefits reduce the benefits of additional job searching.
► **Unemployment benefits enable people to quit searching for work.**

ECO401 - Economics - Q.No. 17 (M - 1)

VuTopper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

The labour force is made up of:

► The number of people employed minus the number of people unemployed.
► **The number of people employed plus the number of people unemployed.**
► Just the number of people employed.
► The whole population.

ECO401 - Economics - Q.No. 18 (M - 1)
The unemployment rate is equal to:

► Number of employed / labour force x 100.
► Number of unemployed / labour force.
► **(Number of unemployed / labour force) x 100.**
► None of the given options.

www.vuzs.info

ECO401 - Economics - Q.No. 19 (M - 1)
M1 component of money supply consists of:

► Paper currency and coins.
► **Paper currency, coins and check writing deposits.**
► Paper currency, coins, check writing deposits and savings deposits.
► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

ECO401 - Economics - Q.No. 20 (M - 1)
Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
► The current pound value of all new and used goods produced and sold in the economy during a particular time period.
► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.**

ECO401 - Economics - Q.No. 21 (M - 1)
To obtain the Net Domestic Product (NDP), start with Gross Domestic Product and subtract:

► **Depreciation.**

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

► Depreciation and indirect business taxes.
► Depreciation, indirect business taxes and corporate profits.
► Depreciation, indirect business taxes, corporate profits and social insurance contributions.

ECO401 - Economics - Q.No. 22 (M - 1)
Fixed exchange rates may be preferred to floating exchange rates because with fixed exchange rates:

► There is greater stability of the exchange rate which encourages trade and investment.
► There is less likely to be a balance of payment deficit.
► There is less need for a country to hold large reserves of foreign currency.
► Interest rates can be used to meet domestic policy objectives such as keeping growth stable.

ECO401 - Economics - Q.No. 23 (M - 1)
If the simple Keynesian expenditure multiplier is 4, the Marginal Propensity to Consume (MPC) is:

► 0.20.
► 0.25.
► 0.50.
► 0.75.

ECO401 - Economics - Q.No. 24 (M - 1)
Usually the shape of production possibilities curve is:

► Concave.
► Convex.
► Linear.
► Positive.

ECO401 - Economics - Q.No. 25 (M - 1)
All of the following conditions lead to the successful operation of a cartel EXCEPT:
► Market demand for the good is relatively inelastic.
► The cartel supplies all of the world's output of the good.
► Cartel members have substantial cost advantages over non-member producers.
► The supply of non-cartel members is very price elastic.

ECO401 - Economics - Q.No. 26 (M - 1)

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

Vu Topper RM

For More Help Contact What's app 03224021365

"Decreases in aggregate demand decrease real output but leave the price level largely unaffected". This is the point of view of which of the following schools of thought?

► Monetarist school of thought.
► New Classical school of thought.
► Real business cycle school of thought.
► **Keynesian school of thought.**

ECO401 - Economics - Q.No. 27 (M - 1)
Why calculations of Gross Domestic Product (GDP) count only final goods and services?

► Because it is difficult to measure the prices of intermediate goods produced.
► Because these are the only goods and services that are purchased in an economy.
► **Because counting all goods and services would lead to double-counting of many activities.**
► Because one cannot calculate the quantities of intermediate goods produced.

ECO401 - Economics - Q.No. 28 (M - 1)
Suppose that your income increases from $80,000 to $100,000 and your consumption increases from $80,000 to $95,000. Your Marginal Propensity to Consume (MPC) is:

► 0.20.
► 0.45.
► **0.75.**
► 0.80.

ECO401 - Economics - Q.No. 29 (M - 1)
Which of the following event will lead towards cost-push inflation and therefore stagflation?

► **An increase in taxes on individuals.**
► A decrease in real interest rates.
► A union settlement that increases wage levels.
► An increase in government purchases.

ECO401 - Economics - Q.No. 30 (M - 1)
Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

► Its currency will appreciate.
► Its currency will depreciate.
► There will be no effect on its currency.
► **All of the given options can be possible.**

VU Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

ECO401 - Economics - Q.No. 31 (M - 1)
Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

► A higher output level than before.
► **The same output level as before.**
► A lower output level than before.
► The Golden Rule output level.

ECO401 - Economics - Q.No. 32 (M - 1)
Which of the following statements best describes the difference between endogenous growth theory and the Solow growth theory?

► Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
► **In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.**
► All of the given options are correct.

ECO401 - Economics - Q.No. 33 (M - 1)
Commercial banks in Pakistan are supervised by:

► **State bank of Pakistan.**
► National bank of Pakistan.
► Finance minister of Pakistan.
► World bank.

ECO401 - Economics - Q.No. 34 (M - 1)
What is the effect of double counting in national income calculations?

► Underestimation of national product.
► **Overestimation of national product.**
► Distortions in national product.
► Misleading conclusions about national product.

ECO401 - Economics - Q.No. 35 (M - 1)
Which of the following best defines "subsidies"?

► Payment by Government for purchase of goods and services.
► Payment by business enterprises to factors of production.
► Payment by companies to share holders.
► **Payment by Government to business enterprises without buying any goods and services.**

ECO401 - Economics - Q.No. 36 (M - 1)

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

VU Topper PM

The demand curve for labour can be derived from the intersection of:

- **Horizontal wage rate lines and the marginal revenue product of labour.**
- Vertical wage rate lines and the marginal revenue product of labour.
- Vertical wage rate lines and the marginal revenue product of capital.
- Horizontal wage rate lines and the marginal revenue product of capital.

ECO401 - Economics - Q.No. 37 (M - 1)

A movement along the aggregate demand curve is called a:

- Change in aggregate demand.
- Change in the aggregate quantity of goods and services demanded.
- Determinant of aggregate demand.
- **Revealed expenditure on aggregate demand.**

ECO401 - Economics - Q.No. 38 (M - 1)

In the long run, the price level is determined by:

- Aggregate demand.
- Aggregate supply.
- The government.
- **Money supply.**

ECO401 - Economics - Q.No. 39 (M - 1)

The simple Keynesian aggregate supply curve is:

- Upward sloping as real GDP increases.
- Horizontal at GDP levels below full employment.
- **Based on the concept that all unemployment is voluntary.**
- Downward sloping as real GDP increases.

ECO401 - Economics - Q.No. 40 (M - 1)

In the equation of exchange, if velocity is stable in the long run then:

- **%ΔV = 0.**
- %ΔV = 1.
- %ΔV is a positive constant value > 0.
- %ΔV = infinity.

ECO401 - Economics - Q.No. 41 (M - 1)

Which of the following is TRUE for the equation MV = PQ?

- M is the money supply.
- V is the velocity.
- Q is the real output level.
- **All of the given options.**

ECO401 - Economics - Q.No. 42 (M - 1)

The increase in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Vu Topper RM

► Revaluation.
► Devaluation.
► **Appreciation.**
► Depreciation.

ECO401 - Economics - Q.No. 43 (M - 1)
The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:
► Revaluation.
► Devaluation.
► Appreciation.
► **Depreciation.**

ECO401 - Economics - Q.No. 44 (M - 1)
As a definition of economic growth, an increase in real capita income is preferable to an increase in simply real GNP, because:
► Total GNP measures overall progress while per capita GNP measures improvement in productivity.
► Total GNP measures goods and services produced while per capita GNP shows improvement in efficiency.
► Total GNP figures estimate the value of a country's total output while per capita GNP accounts for population growth and shows the availability per person of goods and services.
► **All of the given options.**

ECO401 - Economics - Q.No. 45 (M - 1)
Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?
► Output per worker will grow more rapidly than before.
► The level of output per worker will be higher than before.
► The amount of capital per worker will be the same as before.
► **All of the given options.**

ECO401 - Economics - Q.No. 46 (M - 1)
The government has a balanced budget if:
► **Its total revenues are equal to its total expenditures.**
► Its total revenues are less than its total expenditures.
► Its total revenues are greater than its total expenditures.
► The money supply is less than total expenditures.

ECO401 - Economics - Q.No. 47 (M - 1)
Tax on wages, rent, interest, and profit, is known as:

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

► **Direct tax.**
► Indirect tax.
► Progressive tax.
► Regressive tax.

ECO401 - Economics - Q.No. 48 (M - 1)
A tax imposed by a country on an imported good or service is called a:
► Quota.
► **Tariff.**
► Non-tariff barrier.
► Trade embargo.

ECO401 - Economics - Q.No. 49 (M - 1)
Which of the following is an example of a tariff?
► A limit on the total number of Honda cars that can be imported from Japan.
► A regulation specifying that each imported Honda car must meet certain emission exhaust guidelines.
► **A tax of $500 on each Honda car imported from Japan.**
► A tax of 10% of the value of each Honda car purchased in Japan.

ECO401 - Economics - Q.No. 50 (M - 1)
Which of the following is (are) the characteristic(s) of high income countries as compared to low income countries?
I. Lower rates of population growth.
II. Greater income inequality.
III. A large proportion of the labor force in agriculture.
IV. Higher rates of investment.
► I only.
► I and II.
► II and IV.
► **I and IV.**

ECO401 - Economics - Q.No. 51 (M - 1)
The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?
► It is same in the long run and the short run.
► **It is greater in the long run than in the short run.**
► It is greater in the short run than in the long run.
► It is too uncertain to be estimated.

ECO401 - Economics - Q.No. 52 (M - 1)
What will be the impact of a ban on foreign firms from selling in the domestic market?

Vu Topper RM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

► It will cause domestic producers competing with the imports to face huge losses.

► **It will cause the supply curve to shift to the left.**

► It will cause the supply curve to shift to the right.

► It will have no effect on the domestic market.

ECO401 - Economics - Q.No. 53 (M - 1)

What is meant by the term utility?

► Useless.

► Require.

► Necessary.

► **Satisfaction**.

ECO401 - Economics - Q.No. 54 (M - 1)

In which of the following conditions, a welfare loss occurs in monopoly?

► Where the price is greater than the marginal cost.

► Where the price is greater than the marginal benefit.

► Where the price is greater than the average revenue.

► **Where the price is greater than the marginal revenue.**

Visit My YouTube Channel
For Subjective and More Important Files
Channel Name = #VuTopperRM

بری صحبت سے تنہائی بہتر ہے اور تنہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365